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countries have never defaulted on their debt: New Zealand, Australia, Canada, Thailand, Denmark, and the US

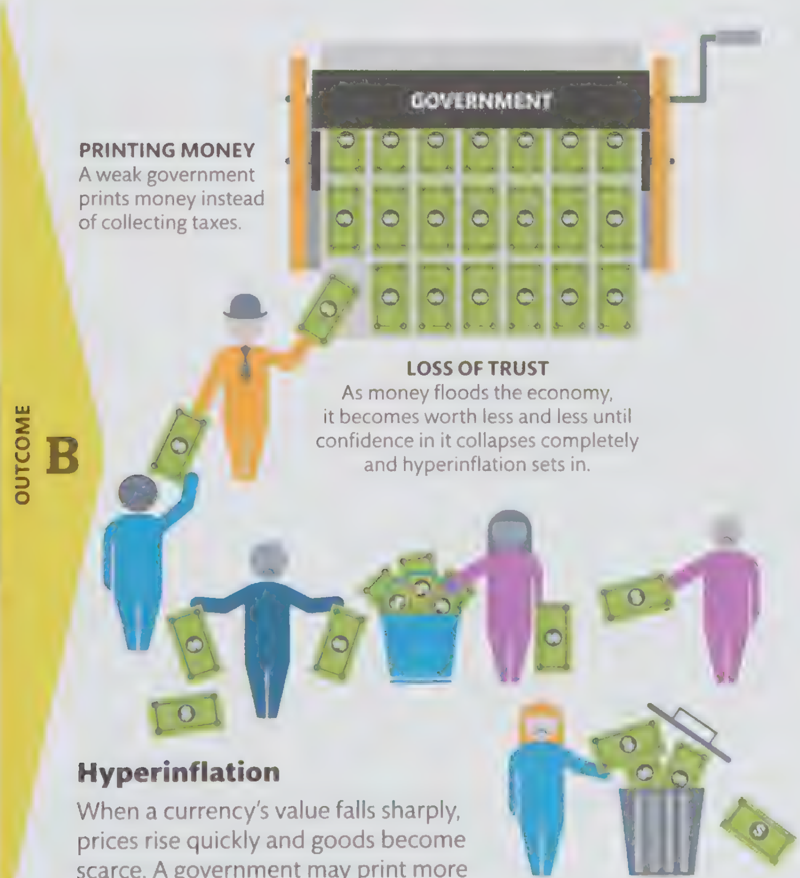
THE IMPORTANCE OF TRUST

Gaining trust

Trust is critical to making money and for governments to work properly. It is necessary for economic growth. If people do not believe a government's financial promises, it may lose control of the economy. Trust is hard to win, and usually comes from political stability over a period of time.

Losing trust

Governments can lose trust in many different ways. A weak government might decide to issue more money to meet the demands made on it, instead of raising taxes. A government unable to repay its own debts, especially those owed to other countries, may decide that defaulting on the debt is easier than trying to levy taxes to pay. In both cases, trust in the government and its money will be undermined.



Hyperinflation

When a currency's value falls sharply, prices rise quickly and goods become scarce. A government may print more money to steady prices, but this undermines trust. *See pp.144–145*